

	BANK AUDITED DECEMBER 2012 (KSHS'000)	BANK AUDITED DECEMBER 2013 (KSHS'000)	GROUP AUDITED DECEMBER 2012 (KSHS'000)	GROUP AUDITED DECEMBER 2013 (KSHS'000)
BALANCE SHEET				
A. ASSETS				
1. Cash (both local and foreign)	584,558	787,042	1,272,794	1,498,209
2. Balances due from Central Banks	3,663,385	5,364,919	5,471,339	7,411,015
3. Kenya Government and other securities held for dealing purposes	-	-	-	-
4. Financial Assets at fair value through profit and loss	-	-	-	-
5. Investment Securities:				
a) Held to Maturity:				
a. Kenya Government securities	17,066,427	12,146,431	17,066,427	12,146,431
b. Other securities	-	-	3,815,928	5,086,383
b) Available for sale:				
a. Kenya Government securities	5,386,845	8,151,263	5,386,845	8,151,263
b. Other securities	864,614	677,463	1,053,016	813,325
6. Deposits and Balances due from Local banking Institutions	567,644	69,071	1,080,018	1,668,067
7. Deposits and Balances due from banking Institutions abroad	924,900	1,550,721	5,693,995	4,382,560
8. Tax recoverable	2,910	-	2,910	-
9. Loans and advances to customers (net)	55,374,811	73,369,588	71,012,960	91,882,664
10. Balances due from banking institutions in the group	-	75,877	-	-
11. Investment in associates	-	-	-	-
12. Investment in subsidiary companies	2,752,188	2,752,189	-	-
13. Investment in joint ventures	1,245,538	1,498,814	2,066,668	2,411,973
14. Investment properties	-	-	-	-
15. Property and equipment	1,387,467	1,948,404	2,129,369	2,608,196
16. Prepaid lease rentals	246,104	241,325	246,104	241,325
17. Intangible assets	175,368	113,513	1,416,318	1,348,414
18. Deferred tax asset	328,141	558,050	337,756	575,989
19. Retirement benefit asset	-	-	-	-
20. Other assets	948,722	1,011,012	1,223,597	1,138,402
21. TOTAL ASSETS	91,519,622	110,315,682	119,276,044	141,364,216
B. LIABILITIES				
22. Balances due to Central Bank	-	447,998	-	447,998
23. Customer deposits	65,640,244	74,494,275	87,774,149	97,145,568
24. Deposits and balances due to local banking institutions	1,238,285	1,991,424	3,095,337	3,751,121
25. Deposits and balances due to foreign banking institutions	3,492,129	121,799	2,781,861	2,212,509
26. Other money market deposits	-	-	-	-
27. Borrowed funds	3,671,573	10,908,978	4,446,420	11,572,650
28. Balances due to banking institutions in the group	-	333,801	-	-
29. Tax payable	-	412,050	110,005	569,713
30. Dividends Payable	-	-	-	-
31. Deferred tax liability	-	-	17,236	26,288
32. Retirement benefit liability	-	-	-	-
33. Other Liabilities	886,572	1,080,723	1,640,646	1,782,180
34. TOTAL LIABILITIES	74,928,803	89,791,048	99,865,654	117,508,027
C. SHAREHOLDERS' EQUITY				
35. Paid up/ Assigned share capital	2,880,245	2,880,245	2,880,245	2,880,245
36. Share premium/ (discount)	3,773,237	3,773,237	3,773,237	3,773,237
37. Revaluation reserves - (AFS portfolio)	(196,473)	(169,514)	(193,552)	(161,585)
38. Retained earnings/(Accumulated losses)	9,217,456	12,308,162	10,241,780	13,722,035
39. Statutory Loan Loss Reserves	29,258	94,679	141,176	218,048
40. Other Reserves - (Building)	138,233	629,739	141,842	631,858
41. Proposed Dividends	748,864	1,008,086	748,864	1,008,086
42. Translation reserve	-	-	98,935	16,468
43. TOTAL SHAREHOLDERS' EQUITY	16,590,819	20,524,634	17,832,527	22,088,392
44. Minority Interest	-	-	1,577,863	1,767,797
45. TOTAL LIABILITIES & SHAREHOLDERS' EQUITY	91,519,622	110,315,682	119,276,044	141,364,216
INCOME STATEMENT				
1. INTEREST INCOME				
1.1. Loans and advances	8,756,661	9,324,040	10,127,214	11,609,424
1.2. Government securities	1,633,570	1,999,298	1,769,784	2,509,143
1.3. Deposits and placements with banking institutions	456,727	67,045	702,379	174,427
1.4. Other interest income	119,431	97,783	119,446	97,780
1.5. Total interest income	10,966,389	11,488,166	12,718,823	14,390,774
2. INTEREST EXPENSE				
2.1. Customer deposits	5,706,988	4,097,448	6,323,374	5,088,750
2.2. Deposits and placements from banking institutions	114,244	185,226	163,112	209,593
2.3. Other interest expenses	213,991	252,260	237,330	297,203
2.4. Total interest expense	6,035,223	4,534,934	6,723,816	5,595,546
3. NET INTEREST INCOME/ (LOSS)	4,931,166	6,953,232	5,995,007	8,795,228
4. OTHER OPERATING INCOME				
4.1. Fees and commissions on loans and advances	423,945	525,608	538,588	604,358
4.2. Other fees and commissions	842,299	971,081	1,039,969	1,355,435
4.3. Foreign exchange trading income (Loss)	549,025	535,242	1,092,049	1,299,551
4.4. Dividend income	103,579	97,286	-	-
4.5. Other income	333,699	213,762	675,335	319,019
4.6. Total non-interest income	2,252,547	2,342,979	3,345,941	3,578,363
5. TOTAL OPERATING INCOME	7,183,713	9,296,211	9,340,948	12,373,591
6. OTHER OPERATING EXPENSES				
6.1. Loan loss provisions	14,168	378,962	(4,892)	383,177
6.2. Staff costs	1,182,814	1,399,661	1,788,676	2,405,172
6.3. Directors' emoluments	26,410	31,630	26,411	31,630
6.4. Rentals charges	211,833	226,451	303,547	389,266
6.5. Depreciation charge on property and equipment	174,413	179,618	256,333	298,195
6.6. Amortisation charges	115,006	119,093	130,592	146,777
6.7. Other operating expenses	737,528	900,979	1,137,977	1,456,708
6.8. Total other Operating Expenses	2,462,172	3,236,394	3,638,644	5,110,925
7. PROFIT / (LOSS) BEFORE TAX AND EXCEPTIONAL ITEMS	4,721,541	6,059,817	5,702,304	7,262,666
8. EXCEPTIONAL ITEMS	-	-	-	-
9. PROFIT/ (LOSS) AFTER EXCEPTIONAL ITEMS	4,721,541	6,059,817	5,702,304	7,262,666
10. Current Tax	(1,425,063)	(2,022,642)	(1,656,623)	(2,440,214)
11. Deferred Tax	66,415	157,260	73,876	158,909
12. PROFIT/ (LOSS) AFTER TAX AND EXCEPTIONAL ITEMS	3,362,893	4,194,435	4,119,557	4,981,361
13. MINORITY INTEREST	-	-	(259,097)	(363,890)
14. PROFIT/ (LOSS) AFTER TAX, EXCEPTIONAL ITEMS & MINORITY INTEREST	3,362,893	4,194,435	3,860,460	4,617,471
15. OTHER COMPREHENSIVE INCOME				
15.1. Gains/(Losses) from translating the financial statements of foreign operations	-	-	(25,738)	(82,466)
15.2. Fair value changes in available for sale financial assets	119,116	26,959	134,280	31,967
15.3. Revaluation surplus on Property, plant and equipment	-	491,506	-	490,016
15.4. Fair value changes on employee benefits	-	-	384	(22,037)
15.5. Income tax relating to components of other comprehensive income	-	-	-	-
16. OTHER COMPREHENSIVE INCOME FOR THE YEAR NET OF TAX	119,116	518,465	108,926	417,480
17. TOTAL COMPREHENSIVE INCOME FOR THE YEAR	3,482,009	4,712,900	3,969,386	5,034,951

	BANK AUDITED DECEMBER 2012 (KSHS'000)	BANK AUDITED DECEMBER 2013 (KSHS'000)
OTHER DISCLOSURES		
1. NON - PERFORMING LOANS AND ADVANCES		
a) Gross Non- performing Loans and advances	757,204	1,060,255
Less		
b) Interest in suspense	266,443	355,355
c) Total Non- performing loans and advances (a-b)	490,761	704,900
Less		
d) Loan loss provisions	345,324	360,230
e) Net Non Performing Loans(c-d)	145,437	344,670
f) Discounted value of securities	145,437	344,670
g) Net NPLs exposure (e-f)	-	-
2. INSIDER LOANS AND ADVANCES		
a) Directors, shareholders and associates	3,095,270	2,144,506
b) Employees	273,625	393,870
c) Total Insider Loans and Advances	3,368,895	2,538,376
3. OFF- BALANCE SHEET ITEMS		
a) Letters of Credit, Guarantees, Acceptances	22,020,220	21,189,871
b) Forwards, swaps and options	5,316,972	6,130,647
c) Other contingent Liabilities	2,155,300	3,835,239
d) Total Contingent Liabilities	29,492,492	31,155,757
4. CAPITAL STRENGTH		
a) Core capital	11,862,465	14,699,895
b) Minimum Statutory Capital	1,000,000	1,000,000
c) Excess/ (deficiency)	10,862,465	13,699,895
d) Supplementary capital	246,758	3,847,179
e) Total capital (a+d)	12,109,223	18,547,074
f) Total risk weighted assets	69,847,651	97,526,473
g) Core capital/total deposit liabilities	17.00%	19.64%
h) Minimum statutory ratio	8.00%	10.50%
i) Excess /(Deficiency) (g-h)	9.00%	9.14%
j) Core capital/total risk weighted assets	16.98%	15.07%
k) Minimum statutory ratio	8.00%	10.50%
l) Excess /(Deficiency) (j-k)	8.98%	4.57%
m) Total capital/total risk weighted assets	17.34%	19.02%
n) Minimum statutory ratio	12.00%	14.50%
o) Excess /(Deficiency) (m-n)	5.34%	4.52%
5. LIQUIDITY		
a) Liquidity ratio	35.46%	34.02%
b) Minimum Statutory ratio	20.00%	20.00%
c) Excess /(Deficiency) (a-b)	15.46%	14.02%

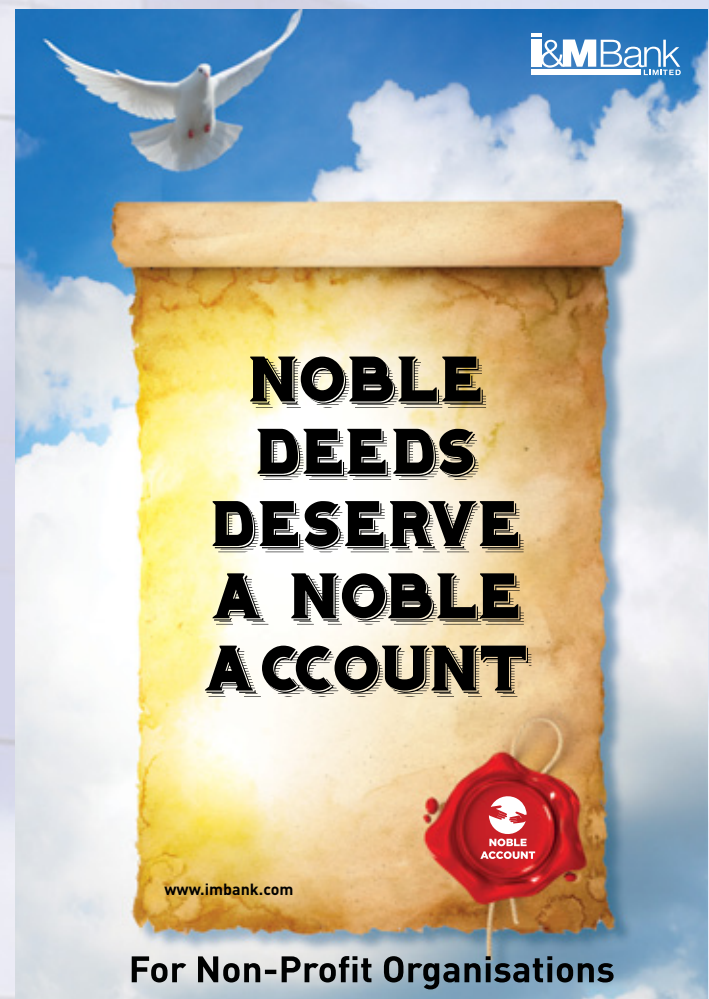
MESSAGE FROM THE DIRECTORS

The above are extracts from the Bank's Financial Statements as audited by KPMG Kenya and received an unqualified opinion. The group accounts for year 2012 have been restated to conform to equity method of consolidating Joint Venture. These statements can be accessed on the institution's website www.imbank.com as well as at the registered office at I&M Bank House, 2nd Ngong Avenue, Nairobi.

The Financial Statements were approved by the Board of Directors on 21st March 2014 and signed on its behalf by:

S.B.R Shah
Chairman

Sarit S Raja Shah
Executive Director



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